

Saving money in this way takes the pressure off doing values-based spending perfectly. Sure, it would be great if you knew everything you valued and spent on it fully 100 percent of the time. But that's never going to happen, and that's too much expectation to put on yourself. Making one or two of the right vital spending decisions annually or quarterly will make a massive difference in your finances, so you won't have to stress as much about the daily decisions of smaller purchases.

The Big Three

So, what are the vital few? Every year the Bureau of Labor Statistics takes a Consumer Expenditure Survey (CE).¹ The survey provides data on expenditures, income, and demographic characteristics of consumers in the United States. There are, not surprisingly, just three categories that make up 64 percent of total household spending outside of savings and retirement investing. They are:

Housing: 33%

Transportation: 17%

Food: 14%

Housing and transportation alone make up half of the average American's expenditures every year. You could buy a latte every day, never use a coupon, and pay full price for everything and you'll probably still save more money annually if you saved intentionally on just your car and home expenses. But how? On most budgets, the first section for expenses is often labeled "fixed expenses." Somewhere along the line, we've interpreted "fixed" to mean that the expense can't be changed. So, we live with the big fixed expenses and lower all the tiny variable expenses. "Fixed" doesn't mean the expense can't be changed, just that it doesn't vary much from month to month. Expenses in other categories can be lowered or increased at will, but fixed expenses are changed less frequently. That's because we're not buying houses, cars, or appliances every year. Because they're infrequent, we think they don't matter as much. On the contrary, just